HKU BUSINESS SCHOOL 港大經管學院

Master of Science in Business Analytics 理科碩士(商業分析)

MSBA 7036

Ethics in Artificial Intelligence

2026-27, Module 4
Jan 22, 2027-Mar 10, 2027

This course is designed to explore the ethical implications of AI technologies in real-world applications. Students will study the intersection of AI and ethics for social good, learning philosophical foundations, fairness, bias, civility in communication, misinformation, privacy, and green AI. Through hands-on experience and assignments, students will develop skills in analyzing large sensitive data sets, identifying potential problems, and considering how to design more responsible AI systems. Throughout the course, students will work in groups to develop a business plan to tackle a core social issue, and they will pitch their plan in a "shark tank" competition, where the winner and runners up will receive prizes.

Instructors

Prof. Boris Babic
Department of Philosophy, the Musketeers Foundation Institute of Data Science, Faculty of Law
babic@hku.hk

Prof. Rachel Sterken
Department of Philosophy, University of Hong Kong
sterkenr@hku.hk

Dr. David Villena
Department of Philosophy, University of Hong Kong
dvillena@hku.hk

Office hours: By appointment.

Learning Objectives

This course will help develop skills and knowledge in the responsible use of AI and business analytics. Upon completion of the course, students will be able to:

- Understand the limitations and implications of using algorithms in decision making.
- Understand ethical concepts, principles and frameworks for identifying and assessing algorithms and their impacts.
- Navigate regulatory and policy landscapes of emerging AI-driven technologies.
- Develop ethical business governance models and business leadership skills.
- Understand the relationship between corporate governance structures and ethical challenges.
- Implement a successful and ethically responsible business plan.

Course Requirements and Assessment

COMPONENT	BASIS	WEIGHT
Participation	Individual	10%
In-Class Quizzes	Individual, Sessions 2 to 9	20%
Homework Assignments	Individual, two assignments at 10% each	20%
Case Studies	Group mark, fixed case study groups	10%
Shark Tank Project	Group mark, business plan 25% and oral pitch 15%	40%
Total		**100%**

Participation (10%): Engagement with the course materials and discussions is an important aspect of every course, however it is especially important in ethics courses where the topics are contentious, unsettled, and require thinking about difficult trade-offs. Participation will help you understand the material better and provide you with opportunities to develop your critical thinking and debating skills. Each session will offer opportunities to ask questions, share your views, insights and examples. Participation is assessed individually.

In-Class Quizzes (20%): A short quiz will be held in each of Sessions 2 to 9. The quizzes are deliberately brief and straightforward. They are intended to check that you are keeping up with the readings and core concepts rather than to catch you out. Quizzes are completed individually in class.

Homework Assignments (20%): There will be two homework assignments, each worth 10% of the course grade. The homework assignments will apply the tools you have developed in the course to ethically salient business problems. The questions will include a mix of short answer/essay style responses, and more quantitative responses that require you to apply some of the formal tools developed in the course. You may discuss the assignments with your classmates, however your answers and write ups must be your own.

> **Use of AI tools:** Homework is assessed as individual work. You may not submit text generated by AI tools as your own. Where you have used an AI tool at any stage, you must say so briefly at the end of your submission, noting which tool and for what purpose. Given the subject matter of this course, we would rather have an honest account of how you used these systems than a pretence that you did not.

Case Studies (10%): Case studies are discussed in class and completed in groups. Case study groups are fixed for the duration of the course and receive a group mark. Case study groups must be different from Shark Tank teams, so that you work closely with two different sets of classmates over the module.

Shark Tank Project (40%): This is a group project developed throughout the course, with two main components. Specific instructions are contained in the separate Shark Tank document.

> **Writeup / Business Plan (25%):** Students will work in groups to develop a business model whose focus is tackling an important social problem. This portion of the assignment will be developed throughout Sessions 1 to 9.
>
> **Oral Pitch (15%):** In Session 10, we will have the final competition. At this stage, students will make their investment pitch to a panel of judges.

Late submissions: Students are strongly encouraged to speak with us, as far in advance as possible, if you think you may have trouble meeting a deadline. Otherwise, unexcused late submissions will receive a penalty of 5% per day.

DEADLINES AT A GLANCE

DUE	DELIVERABLE	WEIGHT
Session 3	Shark Tank teams and topics	Milestone
Session 5	Homework 1	10%
Session 7	Draft business plan	Milestone
Session 9	Homework 2	10%
Session 10	Final business plan and oral pitch	40%

Schedule of Topics

Class *Class time and room: 14:00-17:00, LT104*	**Readings, Case Studies, and Assignments**
SESSION 1 | JANUARY 25, 2027 *Rachel Sterken, Boris Babic, David Villena* **General Introduction** Course overview and assessments **Why AI Ethics Matters for Business** How might AI change businesses and society? Why should managers care about AI ethics? What are some ethical and legal concerns that may arise in building and running different AI business ventures? **Mini case study discussion questions** How should we govern AI companies like OpenAI? Should we rethink our traditional notions of corporate governance? Should we impose open source obligations? Should we impose limits on the extent to which AI companies make weapons or military decisions?	**Mini Case Study:** OpenAI, Corporate Governance and the Military Industrial Complex **READ:** Babic and Cappelen, "OpenAI Enters the Military Industrial Complex" J. O'Donnell, "OpenAI's New Defense Contract," *MIT Technology Review* Metz, "OpenAI Details Plans for Becoming a For Profit Company," *New York Times* **OPTIONAL WATCH:** Palmer Luckey Wants to Be Silicon Valley's New War King (video)

SESSION 2 | JANUARY 28, 2027 *Boris Babic* **Algorithmic Decision Making, Accuracy and Transparency** Why and to what extent should we automate managerial decisions? What types of decisions? How should we evaluate the quality of the decisions being made? What kinds of problems should we look out for? To what extent is it important for the decision making models to be transparent?	Quiz 1 (in class) **READ:** Babic et al., "When Machine Learning Goes Off the Rails," *Harvard Business Review* Babic et al., "Beware Explanations from AI in Health Care," *Science*
SESSION 3 | FEBRUARY 1, 2027 *Boris Babic* **Fairness and Discrimination** What is bias? How can biases in data affect the fairness of algorithmic decision making? What are the ethical implications of relying on algorithms for decision making? How can transparency and accountability be improved in algorithmic systems?	Quiz 2 (in class) **Case Study:** Startup Funding at Fair and Biased Capital Group (FAB) **Due:** Shark Tank Competition Teams and Topics **READ:** Angwin et al., "Machine Bias," *Pro Publica* Narayanan and Kapoor, "Why Can't AI Predict the Future?", *AI Snake Oil* (Chapter 3)
SESSION 4 | FEBRUARY 11, 2027 *Boris Babic* **Privacy** What is privacy and why does it matter for managers? What types of legal and ethical considerations are relevant to anonymity and differential privacy? Is differential privacy ethically sufficient? Is inferential privacy ethically sufficient?	Quiz 3 (in class) **Case Study:** Privacy Protection at Ethical General Hospital (EGH) **READ:** Kearns and Roth, "Algorithmic Privacy," *The Ethical Algorithm* (Chapter 1)
SESSION 5 | FEBRUARY 15, 2027 *David Villena*	Quiz 4 (in class) **Case Study:** Moral Robotaxis and Responsibility Gaps

Automation, Alignment, Risk and Responsibility How do we keep AI aligned with human values? What strategies help us identify and manage AI risks? Who is held accountable when AI systems fail or cause harm? As AI systems become more agentic (planning, calling tools, and executing multi-step tasks with limited supervision), who bears responsibility for what they do, and how should firms deploying them manage that exposure?	**Due:** Homework 1 **READ:** Hao, "Should a Self-Driving Car Kill the Baby or the Grandma? Depends Where You're From," *MIT Technology Review* Kropp, Bedard, Wiles, Hsu and Krayer, "Research: Why You Shouldn't Treat AI Agents Like Employees," *Harvard Business Review* **OPTIONAL WATCH:** Patrick Lin, The Ethical Dilemma of Self-Driving Cars (video)
SESSION 6 | FEBRUARY 18, 2027 *David Villena* **Accountability and Governance** How can businesses ensure appropriate accountability and governance structures to avoid legal and ethical problems? How should we balance a corporation's fiduciary duties to shareholders with its ethical obligations? When do they conflict? And when they do, what should we do about it?	Quiz 5 (in class) **Case Study:** Model Governance at Ethical Co's In House Counsel Office **READ:** Narayanan and Kapoor, "The Dawn of AI as a Consumer Product" and "Automating Bullshit" (excerpts), *AI Snake Oil* Stout, "Corporations Don't Have to Maximize Profits," *New York Times* **OPTIONAL READ:** Gubler, "The Neoclassical View of Corporate Fiduciary Duty Law," *University of Chicago Law Review*
SESSION 7 | FEBRUARY 22, 2027 *Rachel Sterken* **Business Reputation and Information Security** How can misinformation affect business reputation and customer relationships?	Quiz 6 (in class) **Case Study:** Fake News about Food Security **Due:** Draft Business Plan **READ:**

	Raketa, "How Can Businesses Survive in the Era of Fake News?" *Forbes* Williams, "The Fake News about Fake News," *Boston Review* **OPTIONAL WATCH:** BBC Newsround, What is a Deepfake? How Does it Work and What Can it be Used For? (video)
SESSION 8 | FEBRUARY 25, 2027 *Rachel Sterken* **Manipulation and Persuasion** Can algorithms influence or shape customer attitudes and behaviors? Can algorithms be manipulative? In what ways is manipulation ethically problematic? Is market power created by algorithms problematic?	Quiz 7 (in class) **Case Study:** Human-AI Relationships **READ:** Mahari and Pataranutaporn, "We Need to Prepare for 'Addictive Intelligence'," *MIT Technology Review*
SESSION 9 | MARCH 1, 2027 *Rachel Sterken* **The Future of the Labor Market** What is the potential impact of AI-driven automation on employment? What competencies will employers need in the future? What are the ethical implications of AI-driven job displacement? How can responsible AI implementation ensure a just and equitable transition? **Environmental Impacts** How does energy consumption of AI compare to other industries, and what are the implications for sustainability? What are the most effective strategies being implemented to reduce the environmental impact of AI? How can policy and regulation support the transition to green AI while fostering innovation?	Quiz 8 (in class) **Case Study:** A Future Without Work **Due:** Homework 2 **READ:** "Salesforce's New AI Strategy Acknowledges that AI will Take Jobs," *Bloomberg* "AI has an Environmental Problem. Here's What the World Can Do About That." UN Environment Programme

SESSION 10 | MARCH 4, 2027 *Boris Babic, Rachel Sterken, David Villena* ***Venue: LT104*** **Shark Tank Competition**	**Due:** Final Business Plan Oral pitches to the panel of judges. Winner and runners up receive prizes.